QS Tools / TSC — Combined Meeting Question and Interpretation Brief

David Reid Meeting + Paul’s Post-Meeting Answers

Purpose

This brief combines three layers from the David Reid meeting:

1. **The questions Paul wanted answered**
2. **What David said, challenged, or implied**
3. **Paul’s interpretation after the meeting**

The purpose of the meeting was to test whether the thinking behind both TSC Construction and QS Tools made sense to someone with real business recovery, operational, Lean, consulting, and turnaround experience.

The discussion covered two connected areas:

- **TSC Construction** — current business position, market pressure, options, risk, and recovery strategy.
- **QS Tools** — validation of the product model, Xero integration, AI risk, usability, target market, and whether the tool is worth continuing to build.

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1. Main Meeting Conclusion

The meeting did not produce a simple “yes, build it” or “no, stop” answer.

Instead, it produced a more useful answer:

> The underlying QS Tools model appears valid, but the product must become much simpler on the surface before someone can objectively judge or recommend it.

The meeting confirmed that the core problems are real:

- small businesses often do not understand true labour cost
- owners confuse price and cost
- P&Ls are often not used as management tools
- job-level software does not necessarily show whether the business model works
- Xero is trusted, but it does not automatically explain the business
- the product must reconcile to real accounting data
- the user needs a simple answer first, not the full machinery

The main warning was:

> The system may be powerful, but if the user sees the full complexity first, it will feel too hard.

Paul's post-meeting conclusion:

> We had to build the monster to produce the truth, but the user should never have to see the monster.

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2. TSC Business Questions

Question 1 — What would David look at first when assessing a struggling business?

David's meeting answer

David's first instinct was to look at the **P&L**, not the balance sheet.

He focused on:

- sales
- material cost
- fixed costs
- labour structure
- productivity
- scalability
- whether the business has a mechanism to improve

He also looked for whether the business had a clear way to scale, reduce waste, or push more revenue through the same structure.

Paul's interpretation

This validates the idea that the P&L must be the anchor for both TSC decision-making and QS Tools.

The P&L is not just an accounting report. It is the starting point for diagnosing whether a business works.

QS Tools implication

QS Tools must remain P&L-led.

The product should not allow disconnected or "fake" numbers. Every major output should either:

- come from the P&L,
- reconcile to the P&L,
- or clearly show how it was derived from P&L-based inputs.

Core trust principle:

Nothing in QS Tools should exist unless it can be traced back to the P&L or clearly identified as a user assumption.

Question 2 — Is TSC's issue structural, market-based, or caused by a one-off cashflow shock?

David's meeting answer

David identified that Paul may be making business decisions from the depressive state created by the failed/problem job.

He challenged whether the business is structurally broken or whether a specific cashflow event has distorted the current view.

The discussion identified overlapping issues:

- a significant cashflow hole from a problem job
- soft market conditions
- reduced forward workload
- aggressive competitors
- reduced staff and overhead
- uncertainty around whether the business profit engine still exists

Paul's interpretation

TSC's issue is not one single problem.

It is a combination of:

- market pressure,
- cashflow damage,
- pricing pressure,
- and uncertainty over forward work.

However, that does not automatically mean the underlying business model is dead.

The danger is reacting too hard to short-term cashflow pain and destroying the future profit machine.

QS Tools implication

This is exactly the kind of distinction QS Tools should eventually make.

The tool should help identify whether a business problem is mainly:

- market demand,
- cost structure,
- pricing/revenue,
- operational efficiency,
- workload/pipeline,

- or temporary cashflow shock.

Future product statement:

> QS Tools helps identify whether the problem is market, cost, pricing, revenue, structure, or execution.

Question 3 — What is TSC's real business driver?

David's meeting answer

The discussion uncovered that TSC's real macro driver may be **cubic metres of concrete installed/sold**.

Customers may think in square metres or job type, but internally the business may be driven by concrete volume.

Concrete volume affects:

- material spend
- supplier pricing power
- labour utilisation
- margin opportunity
- revenue flow
- workload planning

Paul's interpretation

This was a useful strategic insight.

TSC needs to think less generically about "jobs" and more specifically about the operational driver behind revenue.

For TSC, that driver is likely:

> cubic metres of concrete sold and installed.

Square metres may remain the customer-facing measure, but cubic metres may be the internal business measure.

QS Tools implication

QS Tools should eventually allow different businesses to identify their core revenue/recovery driver.

Examples:

- concrete business: cubic metres installed
- labour business: recoverable hours
- product business: units sold
- equipment business: utilised asset hours

• professional service: billable hours or project value

The product should ask:

> What is the business really selling?

Question 4 — What kind of work should TSC target?

David's meeting answer

David pushed Paul to think about where TSC has a real point of difference.

The meeting identified that simple high-volume work is difficult because large competitors may have:

- better buying power
- more market share
- stronger relationships
- ability to price aggressively
- lower effective COGS
- scale advantage

TSC is likely more defensible in:

- complex work
- technical slab/foundation work
- high-end homes
- difficult sites
- work requiring accuracy and planning
- specialist jobs where large volume players are less suited

Paul's interpretation

TSC should avoid competing directly against large operators on commodity slab work where possible.

The better position is complex, technical, higher-skill work where TSC's capability matters.

TSC implication

TSC's short-term and medium-term strategy should focus on:

- specialist concrete/foundation work,
- high-end residential,
- technically difficult jobs,
- and jobs where precision, planning, and experience create value.

Question 5 — What are TSC's realistic options?

David's meeting answer

David framed the decision as options rather than one immediate answer.

The options discussed were:

1. **Push through**
2. preserve the business
3. keep enough capability alive
4. wait for market recovery
5. **Shrink to a low-overhead model**
6. reduce burn
7. keep only essential capability
8. avoid carrying unproductive overhead
9. **Hybrid model**
10. keep TSC alive while generating income elsewhere
11. reduce reliance on inconsistent construction workflow
12. **Differentiate**
13. focus on specialist work
14. avoid commodity competition
15. **Park or exit**
16. avoid burning cash if the business cannot generate profitable work

Paul's interpretation

The likely practical answer is some form of hybrid or reduced-overhead survival model.

TSC needs to survive the next 12 months without permanently damaging the ability to benefit from the next upswing.

TSC implication

TSC needs a deliberate 12-month plan that answers:

- what overhead can be carried?
- what work is worth chasing?
- what work should be avoided?
- what is the minimum monthly revenue target?
- what is the minimum concrete volume required?
- what capability must be preserved?
- what can be paused or outsourced?

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3. QS Tools Validation Questions

Question 6 — Do small trade/construction businesses understand their true labour cost?

David’s meeting answer

This was strongly validated.

David recognised that most small businesses do not properly understand labour cost, labour recovery, or true recoverable hourly rate.

He engaged with the labour cost build-up and minimum recovery concept.

Paul’s interpretation

This confirms that the labour recovery module is one of the strongest foundations of QS Tools.

The original instinct to start with true labour cost was correct.

QS Tools implication

The first sellable KPI may be:

> Your true labour recovery rate.

Simple front-end output:

- Your true labour cost is X.
- Your minimum recoverable labour rate is Y.
- You are charging/recovering Z.
- You are above/below recovery by A.

This should be one of the clearest entry points for small trade businesses.

Question 7 — Do existing job management tools already solve this?

David’s meeting answer

David challenged whether other tools already do this.

Paul explained the difference between job management tools and QS Tools.

Existing tools generally:

- manage jobs
- create purchase orders
- track job costs
- send invoices or data into Xero
- report job-by-job outcomes

But they generally do not show whether each job supports the full business model or whether the business itself is recovering correctly.

Paul’s interpretation

This objection was handled well.

The key distinction is:

> Job tools manage the work. QS Tools checks whether the business behind the work is viable.

Another useful version:

> Job tools tell you what happened. QS Tools tells you whether what happened actually works.

QS Tools implication

QS Tools should not position itself as “another job management tool” first.

It should position as:

- business recovery model,
- profitability diagnostic,
- cost/recovery engine,
- Xero-connected business decision layer,
- macro view above job-level tools.

Long-term, QS Tools may include job workflow, but the unique value is the closed-loop recovery model.

Question 8 — Should QS Tools integrate with Xero?

David's meeting answer

David saw Xero as the trusted source of truth.

His first view was one-way:

> Xero P&L → QS Tools

Paul explained the fuller long-term vision:

> quote → work orders → purchase orders → reconciliation → Xero

David understood the logic but warned that this becomes a much bigger system.

Paul's interpretation

Both views are valid, but they belong to different phases.

Near-term:

> P&L from Xero into QS Tools.

Long-term:

> full operational loop back into Xero.

The full loop is powerful, but it should not be the first thing users see or the first thing built next.

QS Tools implication

Build order should be:

1. answer-first dashboard
2. P&L import / Xero connection
3. baseline versus actual comparison
4. leakage diagnosis
5. later quote/work order/purchase order/reconciliation loop

The Xero integration strategy should be staged:

Phase 1 — Xero as source of truth

- import P&L
- import relevant reports
- classify costs
- reconcile outputs
- create baseline

Phase 2 — QS Tools as decision engine

- compare baseline to actual
- show drift
- diagnose leakage
- recommend focus areas

Phase 3 — Operational loop

- quote input
- work orders
- purchase orders
- actual cost reconciliation
- invoice flow
- write-back to Xero where appropriate

Question 9 — Can AI replace this?

David's meeting answer

David challenged the software opportunity by asking why AI could not do this.

He also raised the broader concern that software businesses are changing because AI can now create simplified tools quickly.

His example was Microsoft Project: a complex tool was replaced or simplified by recording a conversation and using AI to create a simpler project tool.

Paul's answer

Paul's answer was that AI can analyse information, but only if it has the right structured data.

AI cannot consistently produce reliable business recovery outputs unless:

- the P&L is structured,
- labour is classified,
- overheads are mapped,
- productive assets are separated,
- baseline is defined,
- actuals are compared,
- assumptions are controlled,
- and recovery logic is consistent.

Paul's post-meeting interpretation

AI is not the enemy.

AI changes the interface.

QS Tools provides the structured business engine.

Best positioning:

> QS Tools is the structured recovery engine. AI can sit on top as the explanation layer.

Or:

> AI can explain the answer. QS Tools creates the answer.

QS Tools implication

Do not build QS Tools as an old-style complex software interface.

Build it as:

- structured data model,
- rules engine,
- baseline engine,
- recovery engine,
- drift engine,
- with a simple UI and future AI explanation layer.

The risk is not AI itself.

The risk is building something complex that AI makes easier to replace.

The product must be:

- simple,
- outcome-driven,
- structured,
- and AI-compatible.

Question 10 — Is QS Tools worth continuing to build?

David's meeting answer

David could not objectively answer yes or no because he had not seen a finished, simplified version.

He showed interest and engaged with parts of the tool, but he could not yet judge the final product.

He questioned:

- who would buy it?
- why would they buy it?
- would AI replace it?
- is it too complex?
- are users ready for it?

- would small business owners actually use it?

Paul’s answer after the meeting

Yes, QS Tools is worth continuing, but only under one condition:

> It must become simple on the surface.

The model is not the problem.

The entry point is the problem.

Paul’s conclusion:

> The system is complex so the answer can be simple.

QS Tools implication

Do not stop building.

Do not add more visible complexity.

Next step is not more modules.

Next step is a simple dashboard that compresses the existing system into a few clear answers.

Question 11 — What would someone need to see before recommending it?

David’s meeting answer

This question was not asked directly, but the answer became clear through the conversation.

David would likely need to see:

- simple front page
- clear KPI outputs
- P&L tie-back
- baseline versus actual graph
- evidence that the system is not inventing numbers
- easy onboarding
- clear target user
- obvious business value
- confidence that the tool is not too complex for the user

Paul’s answer after the meeting

The user needs to see whether the business is going up or down against a baseline.

A single trend line is not enough.

Paul's interpretation:

> If there is nothing to compare the graph to, you cannot tell whether the business is heading in the right direction.

The dashboard needs:

- baseline line
- actual line
- gap
- direction
- cause of drift
- recommended action

QS Tools implication

The first dashboard graph should not simply show performance over time.

It should show:

> expected performance versus actual performance.

This is the clearest way to show whether the business is improving, declining, or drifting away from the model.

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4. The "Monster" Discussion

Paul's point

Paul clarified that David did not say QS Tools was a monster.

Paul's point was:

> We have built a monster because all the logic is needed underneath, but the user does not need to see it.

The full system is required to derive the few important answers.

For example, Recovery Summary may only need three key numbers or statements, but those numbers cannot be trusted unless the underlying system exists.

Interpretation

This is the correct architecture:

- complex engine underneath

- simple answer on top
- optional drilldown for trust

QS Tools implication

Do not remove the complexity from the engine.

Hide it behind a simple front door.

The product should work in layers:

Layer 1 — Answer

- Are we making money properly?
- What is leaking?
- What should we fix first?

Layer 2 — Explanation

- labour issue
- material issue
- overhead issue
- asset issue
- revenue issue
- pricing issue
- market issue

Layer 3 — Evidence

- P&L source
- cost build-up
- recovery logic
- allocation logic
- drilldown tables
- assumptions

Best product principle:

> The user should see the answer first, the explanation second, and the machinery only if they ask for it.

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5. David's Engagement Signal

Meeting observation

Although the tool appeared complex, David did engage with it.

He clicked through:

- Cost Summary
- Business Summary
- graph / line view
- hour / day / week / month / year scenario
- drilldown layers

He reacted positively when he saw that the tool could drill down further.

Paul's interpretation

This was an important positive signal.

It showed:

- the depth is valuable
- the model creates curiosity
- drilldown matters
- the tool has substance
- the issue is the first impression, not the underlying logic

QS Tools implication

Keep the drilldown.

Do not make the system shallow.

But make the first screen simple enough that users are not overwhelmed before they discover the depth.

Key principle:

> Start with the answer, then let the user drill into why.

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6. Confirmed QS Tools Product Direction

Confirmed by the meeting

QS Tools is solving a real problem:

- business owners do not understand true labour cost
- many owners cannot interpret their P&L
- price and cost are often confused
- job-level tools do not solve the macro recovery problem
- Xero is trusted but does not automatically explain the business
- AI needs structured data and logic to produce reliable answers
- the tool must be simpler on the surface

Not yet confirmed

The meeting did not fully confirm:

- exact first buyer
- best pricing model
- whether accountants or advisors are the best channel
- whether business owners will self-onboard
- whether the full operational loop should be built soon
- whether the product should launch as software-only or service-assisted software

Strongest risk

The strongest risk is not the model.

The strongest risk is adoption.

If the product feels too complex, the people who need it most may not use it.

Strongest opportunity

The strongest opportunity is to turn complex business recovery logic into a simple dashboard that answers:

> Am I making money?
> Am I recovering my true costs?
> Where am I leaking?
> What do I fix first?
> Am I tracking better or worse than baseline?

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7. Immediate Build Priorities

Priority 1 — Build the answer-first dashboard

The first screen should show only the top-level outcome.

Suggested headline outputs:

1. Business recovery status
2. Actual versus baseline performance
3. Main leakage area
4. Minimum labour recovery rate
5. Recommended next action

Priority 2 — Build baseline versus actual graph

The most important graph should compare:

- baseline / expected performance
- actual performance
- variance
- trend
- drift

This is the visual that answers:

> Is the business going up or down compared to where it should be?

Priority 3 — Keep Xero/P&L as the anchor

The next practical integration step should be:

> Xero P&L → QS Tools

This creates credibility and keeps the product grounded in trusted data.

Priority 4 — Keep labour recovery as the simple hook

The first clear sellable KPI may be:

> Your true labour recovery rate.

This is easy to understand, emotionally powerful, and relevant to many trade businesses.

Priority 5 — Do not build the full operational loop yet

The full loop is valid, but later:

> quote → work order → purchase order → reconciliation → Xero

This should come after the simple dashboard and Xero/P&L baseline are working clearly.

Priority 6 — Prepare for AI, do not fight it

QS Tools should become the structured engine that AI can query and explain.

Future direction:

- QS Tools creates the structured truth.
- AI explains the result in plain English.

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8. Final Combined Conclusion

The David Reid meeting validated the core thinking behind QS Tools, but it also clarified the biggest risk.

The model is not the issue.

The surface complexity is the issue.

Paul's post-meeting interpretation is that QS Tools is worth continuing because the problem is real and the system logic is sound. However, it must now shift from "showing the system" to "showing the answer."

For TSC, the meeting clarified that the business needs a deliberate 12-month survival and recovery plan based on concrete volume, reduced overhead, specialist work, and avoiding decisions based only on cashflow pain.

For QS Tools, the next phase should be:

1. simplify the front door,
2. anchor to Xero/P&L,
3. show baseline versus actual,
4. expose leakage,
5. hide the monster,
6. allow drilldown only after the answer is clear.

The product should be built around this final user-facing promise:

> This is where your business should be.
> This is where it actually is.
> This is the gap.
> This is what is causing it.
> This is what to fix first.